

Broadcom Inc.

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REDUCE

Fair value (12-mo horizon reference)	\$240.00
Current price (October 2, 2026 close)	\$355.14
Implied upside / downside	-32%
Verdict	REDUCE

Investment Thesis

Broadcom has executed one of the most successful roll-up strategies in technology history: acquiring entrenched semiconductor and infrastructure-software franchises, extracting costs with unusual discipline, and returning the proceeds to shareholders. The company sits at the center of the two most powerful enterprise-technology trends of the decade — AI networking, where its Ethernet portfolio is the connective tissue of AI clusters, and custom AI accelerators, where its co-design programs with hyperscalers offer an alternative to merchant GPUs. This is a genuinely advantaged position.

It is also a cyclically peak position being priced as a permanent plateau. At \$355.14, the market assumes the AI infrastructure buildout continues without a digestion phase, that hyperscaler capital spending grows indefinitely, and that custom-silicon programs — which belong to the customers, not to Broadcom — are never delayed, cancelled, or insourced. Semiconductor history is unambiguous on this point: every capex supercycle in the industry's history has been followed by a digestion period in which orders fall faster than anyone models. The current price contains no digestion.

The VMware leg adds a second source of fragility. The acquisition thesis rests on raising prices on a locked-in enterprise installed base, and early results have validated the pricing power. But aggressive price increases on mission-critical virtualization software are accelerating customer evaluations of alternatives — open-source hypervisors, public-cloud migration, and competing platforms. Pricing power extracted too fast converts a durable annuity into a melting ice cube.

Leverage is the quiet amplifier the bull case ignores. Broadcom's acquisition model was built on cheap debt and acquired cash flows; with rates structurally higher and the VMware deal already digested, the next leg of the playbook — another transformational deal — is harder to finance and harder to find. What remains is an operating company that must grow organically in cyclical end markets, a much less forgiving setup than the serial-acquirer narrative the multiple still reflects.

Our probability-weighted fair value is \$240.00, 32% below the current price. Broadcom's management and franchise quality keep us at REDUCE rather than SELL — this is a business we would be enthusiastic owners of at the right price. \$355.14 is not the right price.

Business Overview

Broadcom operates two segments. Semiconductor Solutions designs chips for networking (Ethernet switching and routing, optical interconnects), broadband, storage, and wireless, plus custom AI accelerators co-developed with large hyperscale customers. Infrastructure Software, transformed by the VMware acquisition, sells virtualization, cloud-management, and mainframe software to enterprises on subscription and license terms.

The business model is acquisition-led: Broadcom buys mature franchises with strong market positions, consolidates operations aggressively, and harvests the cash flows. The company carries significant debt from this strategy, serviced by the very cash flows the acquisitions generate — a structure that works brilliantly until organic growth falters.

Forward Outlook

We should also note the geopolitical dimension. Export controls on advanced semiconductors have already shrunk the addressable market for high-end networking and compute silicon in China, and the ratchet only moves in one direction. Broadcom's China exposure is manageable today, but each successive restriction removes a slice of the growth the current multiple assumes, while domestic Chinese competitors fill the vacuum behind protective policy.

Our judgment is that AI networking demand remains strong through the current cluster buildout, but the slope of growth from here is flatter and lumpier than consensus assumes. Hyperscaler capex is already at historic highs as a share of revenue; the next phase of AI investment will be gated by power availability, not chip supply, and power constraints slow deployments in ways that hit component suppliers first. Customer concentration is extreme — a handful of hyperscalers drive the AI revenue — so any single customer's pause becomes Broadcom's air pocket.

On custom silicon, we are structurally cautious about valuing customer-owned programs as if they were Broadcom-owned annuities. These engagements are lumpy, competitively re-bid, and subject to the customer's make-vs-buy calculus shifting with each generation. The economics are attractive while they last; the duration is the question the price ignores.

VMware will continue to generate prodigious cash in the near term as contracts renew at higher prices. But we expect the renewal data over the next two years to show rising attrition at the margin and longer sales cycles, as CIOs who accepted the first price increase shop alternatives before the second. The market currently models the VMware annuity as perpetual; we model it as decaying, and the difference is most of our valuation gap.

Valuation

We value Broadcom on a 10-year scenario DCF at a 10% base discount rate. Our bear case assumes an AI capex digestion in which networking orders fall sharply for 18–24 months, a major custom-silicon program is delayed or lost, and VMware attrition accelerates as customers migrate off the platform — with leverage amplifying the equity downside. The base case assumes AI networking grows through the cycle with one moderate digestion period, custom silicon contributes lumpy but positive growth, and VMware renewals hold with gradual price normalization. The bull case assumes the AI buildout extends without interruption, Ethernet takes dominant share of AI fabrics, and VMware pricing power proves fully durable.

Probability-weighting the scenarios 25% / 50% / 25% produces a fair value of \$240.00, our target. The valuation is highly sensitive to the timing of the semiconductor cycle — precisely the variable the current price assumes away.

Key Risks

- Semiconductor cyclicalities: an AI capex digestion would hit orders and multiples simultaneously.
- Hyperscaler concentration: a pause or cancellation by one or two large customers is material.
- Custom-silicon programs are customer-owned; they can be re-bid, delayed, or insourced.
- VMware customer attrition accelerating under aggressive pricing.
- Leverage: debt taken on for acquisitions amplifies downside if cash flows falter.
- US–China technology restrictions affecting the addressable market for networking chips.
- Debt refinancing risk if credit conditions tighten while organic growth slows.
- Key-person and integration risk as the acquisition cadence that defined the culture slows.

What Would Change Our Mind

- Evidence that AI networking demand is genuinely non-cyclical: multi-year take-or-pay contracts replacing spot orders.
- VMware renewal rates holding above 95% through two full price-increase cycles.
- Deleveraging to below 2x net debt/EBITDA, reducing the fragility of the capital structure.
- A 25%+ share-price decline with AI order books still intact.
- Net leverage falling below 2x net debt/EBITDA combined with two consecutive years of double-digit organic growth — proof the model works without the next deal.

Valuation Approach

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit forecast horizon — 10 years for most businesses, 15 years for businesses meeting our compounder-quality criteria (10+ years of ROIC above 15%, stable or expanding gross margins, free-cash-flow conversion above 80%, all verified from history, never projected) — weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations; 8–8.5% for compounder-quality businesses whose predictable cash flows genuinely lower risk); the bear case adds 250bp, the bull case subtracts 150bp (floor 8%). Terminal value assumes no more than 2.5% perpetual growth (3.0% for compounder-quality businesses) applied to normalized mid-cycle margins — never peak margins — and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants. For international businesses we add an explicit country-risk premium to the discount rate and benchmark multiples against regional peers facing similar risks, never US peers alone; structural risks (e.g. VIE structures, regulatory confiscation) are modeled in cash flows and the bear case. We value this business over a 10-year horizon at a 10% base discount rate.

Disclaimer

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